INDIAN ELECTRONICS INDUSTRY

# "Long Term Strategy For Exports Required"

Indian Electronics Industry has been witnessing a steady growth during the last few years. However, much still remains to be done. In an exclusive interview with Vikas Bhardwaj, Editor, Indian Export Products, Mr. M.L. Tandon, Chairman, Electronics & Computer Software Export Promotion Council (ESC) talks on a variety of issues facing the Indian Electronics Industry. A report...

*Q. Where does the Indian Electronics Industry stand at present in the International Market ?*

*ANS.* World Electronics production, excluding Software and Service amounted to approximately US$ 900.00 billion. Major producers are USA, Japan, European Union, China, Korea, Malaysia, Singapore and Indonesia. India occupies a very low position with a production of US$ 5.00 billion.

*Q. What are the major thrust areas of Export Promotion Programme ?*

*ANS.* India's Export of Electronics in the last five years has registered a steady growth with an export of US$ 716.00 million in 1995-96. Value wise, export is not something to be proud of, when we compare our performance with some of the developing countries in South East Asia. We cannot hope to be global players in export unless we have a strong production and technology base. Major thrust is, therefore, on expansion of production base and introduction of latest technology. Simultaneously, a strong commitment from all departments along with planned long term strategy for exports is required.



M. L. Tandon

*Q. Kindly highlight the main impediments in the way of faster growth of Indian Electronics Industry?*

*ANS.* Major impediments in the way of faster growth of Indian Electronics Industry is the widening gap between the policies and speedy implementation. Policy decisions taken at top level are not implemented speedily causing frustration and loss of interest.

Decisions taken by one wing of the Government are nullified by another wing whereby precious time of the investors and exporters is lost in fresh understanding of the policies and getting clear interpretation, then running after the files. In the meantime, opportunities are lost and the overseas investors take their portfolios to other promising markets.

As a Nation, we must develop the ability to react expeditiously to the customers' requirements. The market is not interested in our procedures and interpretation of the policies and as such they require services without delay.

Another major impediment is finance and high rate

of interest. Latest guidelines of the Reserve Bank of India and operating procedures to check incidents of fraudulent Import Bills have caused a lot of inconvenience to a large number of EPCG, EHTP, STP Scheme Exporters because of their dependence on regular imports for their exports.

*Q. What steps, according to you, should be taken by the Government of India to give impetus to the Electronics Industry ?*

*ANS.* In my view, policy measures adopted by the Government should help in expansion of the Electronics Industry but hurdles in the way of implementation of the policy measures are hurting the industry. The structure of duty is such which encourages import of finished components and products rather than import of components and raw materials for manufacturing the finished products in the country.

The recent guidelines for handling import bills to the effect that authorised dealers should not accept imports unless documents are received through the banks, has caused further delays in meeting the export orders increasing the requirements of working capital and high cost of finance due to increased bank charges.

*Q. Do we have the necessary infrastructure to provide training to meet the growing manpower needs of the Indian Electronics Industry ?*

*ANS.* We do not have adequate infrastructure to provide training to meet the growing manpower needs of the Indian Electronics Industry. There is an urgent need for providing financial assistance to the private training institutes and also setting up Government financed training institutes for technical manpower.

*Q. Please indicate the steps being taken to make Indian products competitive in the International Market ?*

*ANS.* Government, have taken a number of steps to make Indian products competitive in the International Market. They may be summarised as under : -

- Import of Capital Goods at concessional rates of duty with certain export obligations.

**As a Nation, we must develop the ability to react expeditiously to the customers' requirements. The market is not interested in our procedures and interpretation of the policies and as such they require services without delay.**

- Import of raw materials and components required for export production without payment of any duty.

In addition, Electronics and Computer Software Export Promotion Council (ESC) has undertaken a number of steps to facilitate prospective exporters to display their products overseas, establish contact with prospective buyers, provide information related to the demand in specified countries, present sources of supply, list of prospective importers, etc.

*Q. Are there any plan to promote exchange of know-how among the SAARC Countries ?*

*ANS.* Consequent upon the reduction in duty structure on specified items and extension of Most Favoured Nation (MFN Facility), quite a few of Indian manufacturers of electronic products are looking up to SAARC countries for export as well as transfer of know-how and local production.

*Q. What is your vision of Electronics Industry by the year 2000 A.D. ?*

*ANS.* ESC has visualised an export of approximately US$ 8.00 billion by the year 2000 A.D., but this goal could be achieved only if the overall production of Electronic products is increased from the present level of US$ 6.00 billion to US$ 25.00 billion by the beginning of the next century. ■

# Tandon (India)

Global thinking and excellent foresight has made Tandon (India) deliver the right product at the right time.

Tandon (India), globally acclaimed name in the Information Technology scenario, was started to manufacture High Technology Products for exports. March 1978 saw the beginning of its manufacturing operations starting with complex Recording Heads for Floppy Disk Drives.

An initial investment of just Rs 25,000 has been so rightly utilized that Tandon (India) has almost touched the Rs 400 crore mark.

Some of the products that have come from Tandon's very own ISO 9002 certified ultra modern units are :

- **Stepper Motors**
- **Winchester Headstacks**
- **DC to DC Convertors**
- **Headstack Assemblies and its sub-assemblies**
- **Voice Coils**
- **AC Adaptors**
- **PCs**
- **Switch Mode Power Systems (SMPS)**

All Tandon (India) products comply with the latest relevant International standards such as UL, FCC, VDE and CSA.

Tandon (India) has been an OEM supplier to world class customers like IBM, Compaq, Seagate, Syquest Technology, Western Digital, to name just a few. The Units are now spread over the Free Trade Zones (FTZs) not only in Mumbai but also in Chennai (Madras) and Noida making the entire process cost effective. Leading in Technology, Tandon (India) is the largest manufacturing exporter of Computer Hardware from India for almost two decades.

## SWITCH MODE POWER SUPPLIES (SMPS)

The present product line of Switch Mode Power Supplies manufactured, ranges from 12 watts to 500 watts. They possess features like auto ranging of input AC voltages from 90 volts to 270 volts. The current annual capacity is half a million of high-end power supplies quarterly. The product development laboratory, manned by highly qualified design engineers is equipped with Computer Aided Design facilities. This has accelerated the pace of product development. The lab is capable of developing power supplies of standard designs as well as custom designs. The average turn-around-time is roughly 2 to 4 weeks.



**M. L. Tandon**
CMD, Tandon (India)

## STEPPER MOTORS

This group also manufactures various models of Stepper Motors with Step Angles of .9 degrees, 1.8 degrees and 3.6 degrees. The annual production capacity is 1.2 million units. In the production of Stepper Motors diverse kind of manufacturing processes like Precision Machinery and Automatic Stator Winding are employed. The fully assembled Stepper Motors are subjected to a computerized Step-angle test. They are further inspected only then they are certified and ready for despatch.

**An initial investment of just Rs 25,000 has been so rightly utilized that Tandon (India) has almost touched the Rs 400 crore mark.**

## WINCHESTER HEAD STACKS

Winchester Head Stacks of the latest designs with storage capacity of 1.2 Giga Bytes are manufactured in Tandon's very own state-of-the-art facilities producing 2 million units. The highly skilled and competent operators perform a series of precise and exacting operations requiring dexterity and concentration to manufacture the Head Stack Assemblies.

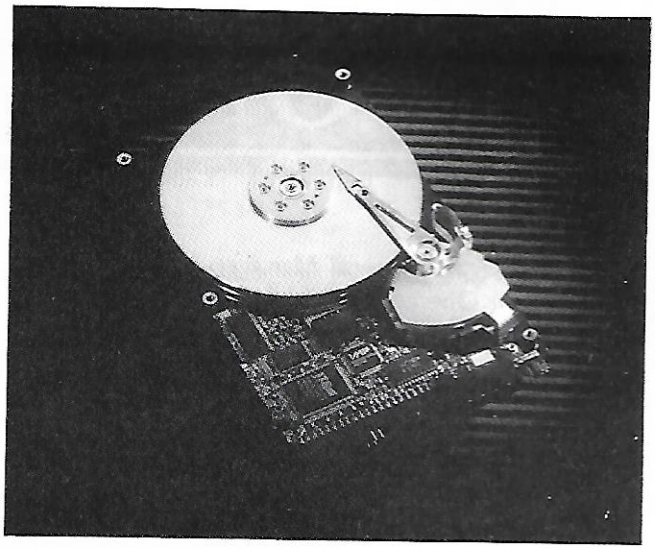
Ultra-sonic degreasing is an important adjunct of the Head Stack Assembly manufacturing process. Meticulous inspection and testing are carried out in different stages of manufacturing, as the products manufactured have to continuously undergo tightening specifications of quality standards. The range of sophisticated equipment used include video matrix, fort height measurement machine, PPL Flying height tester, Gusic tester, WME systems tester and PPL carriage level tester.

In the fast moving world of electronics, with the leap-frogging technology churns out new products at a dizzying pace, nothing seems to be prominent except for two facts - the demand for ever rising product performance and the need for continually improved process capabilities.

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## DIVERSIFICATION

With its tremendous success in the hardware exports, Tandon (India) has recognized its needs to diversify into other areas of business. With offices already set up in the country's major metros, the distribution wing is essentially dedicated to introducing new products (Computer related peripherals) to the local market. It aims to be a window for marketing the products of other multinationals in India.



Hard Disk Drives

## SOFTWARE EXPORTS

The other area is software exports. Two years back, a completely independent software company came into existence. This division has been started to look after international requirement and would concentrate on areas such as system level Programming (Consumer Electronics, Chip Level Programming, Device Drivers,etc.) and handle complete large turn-key projects in order to provide maximum benefits. The operations have already started in USA and Singapore with its development centre at Mumbai, India.

## CUSTOMER SERVICE

Striving for excellence and treating the customer to be 'supreme' has forever been Tandon's way of life . Another aspect noteworthy of mention is the strong bond it continues to maintain with the vendors. This relationship, which is crucial to the organization, is warm and close-knit.

Besides having many firsts to its credit like, being the pioneer and the largest exporter of Computer Products in India or to manufacture Floppy Disk Drives in India and export, the Group has won many laurels year-after-year for Outstanding Export Performance. ■